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Attachments

Final_Federal_AI_Implementation_Strategy 3

Challenges and Opportunities in Federal AI Implementation

Introduction

The federal government holds tremendous potential to harness artificial intelligence (AI) and informatics to transform public services, enhance operational efficiency, and improve decision-making processes. While there are visionary leaders within federal IT who recognize and champion innovation, broader federal IT strategy remains predominantly driven by career bureaucrats who typically lack significant technological knowledge and an understanding of disruptive technologies like AI. This leadership gap significantly constrains the effective deployment and utilization of robust infrastructure such as enterprise agreements with Microsoft Azure, AWS (VA Enterprise Cloud - VAEC), and other major technology providers.

Structural and Bureaucratic Challenges

Federal IT initiatives frequently face significant impediments due to deeply entrenched bureaucratic inertia. Layers of required approvals, outdated procurement systems, and rigid compliance frameworks slow innovation considerably. Unlike agile methodologies employed by the private sector, federal agencies are trapped in slow, incremental cycles of decision-making. This rigidity prevents timely AI adoption and limits transformative impact.

Decision-makers without adequate technological insight often lead to overly cautious approaches that stifle innovative solutions. This structural problem is compounded by frequent changes in policy and leadership, creating instability that disrupts long-term planning and execution of technological projects.

Talent Acquisition and Retention

Recruitment and retention of skilled AI professionals is a persistent challenge. Federal agencies compete with the private sector, where incentives, salaries, workplace flexibility, and professional growth opportunities are superior. The cumbersome federal hiring process further exacerbates this issue, often discouraging highly qualified technologists from applying.

Additionally, federal structures provide limited recognition and rewards for technical innovation, significantly impacting job satisfaction and causing high turnover rates. Without creating clear pathways for advancement and offering competitive incentives, the federal

government remains at a severe disadvantage in maintaining a stable and effective AI workforce.

Risk Aversion and Regulatory Constraints

A prevailing risk-averse culture within federal agencies significantly impedes AI innovation. Compliance with extensive federal regulations becomes an overriding priority, overshadowing potential innovation benefits. Agencies rarely adopt iterative, agile approaches, fearing regulatory violations.

This risk aversion underscores the necessity for regulatory sandboxes and controlled environments that can facilitate safe experimentation and iterative testing. Without reforms in regulatory frameworks, agencies will remain unable to effectively integrate AI technologies, further widening the innovation gap with private industry.

Underutilization of Existing Infrastructure

Federal agencies currently underutilize extensive technological resources, despite substantial investments. Despite robust enterprise cloud agreements with Microsoft Azure and AWS, siloed data repositories, legacy system dependencies, and poor inter-agency communication significantly limit these resources' efficacy.

This issue could be addressed by strategic oversight, comprehensive data-sharing policies, and centralization of AI governance. An integrated approach that bridges these gaps is crucial to fully leverage existing infrastructure and realize maximum returns on investment.

Optimizing Resource Allocation

A significant but often overlooked challenge is the misallocation of resources towards overly complex and resource-intensive AI projects. Rather than leveraging simpler, readily available cloud-native AI solutions, agencies tend to favor custom-built platforms, significantly increasing project complexity and costs.

By redirecting efforts toward existing tools within Azure's cloud services, AWS cloud services, and other existing solutions, federal agencies can achieve quicker, cost-effective results, maximizing immediate impact while preserving resources for future innovation.

Transforming the Electronic Health Record with AI

The ongoing transition to a new Electronic Health Record (EHR) system, particularly in agencies like the VA, highlights significant shortcomings in federal IT strategies, especially when dealing with outdated legacy systems like MUMPS. Despite its age, MUMPS remains the foundation of highly successful EHR platforms such as EPIC, demonstrating its resilience but also exposing its limitations in modernization efforts. Attempts to migrate vast, complex

databases from MUMPS to newer systems have often proven ineffective, costly, and disruptive. Instead of investing massive resources in these transitions, a more practical solution involves employing advanced AI technologies to simplify existing codebases, automate legacy processes, and efficiently rebuild essential functionalities. AI-driven models could dramatically reduce the complexity of system modernization, enabling a focused, cost-effective rebuild that preserves critical capabilities while eliminating inefficiencies. This approach, requiring only a relatively small team of skilled coders, could resolve persistent challenges associated with legacy coding languages, mitigate risks of data loss or system failures, and significantly enhance federal health informatics at a fraction of the anticipated cost.

Strategic Recommendations

1. Visionary Leadership Development: Appoint leaders with technological understanding and strategic insights.
2. Creation of Agile Regulatory Frameworks: Establish regulatory sandboxes for safe and iterative experimentation.
3. Enhanced Talent Management Initiatives: Improve recruitment, salaries, and clear career advancement paths.
4. Comprehensive Utilization of Existing Infrastructure: Maximize cloud contracts and enhance data-sharing policies.
5. Procurement and Compliance Reform: Streamline procurement to accelerate technology adoption.
6. Efficient Resource Allocation: Prioritize straightforward, cloud-native solutions to achieve immediate impact.

Conclusion

Although some visionary federal IT leaders exist, broader bureaucratic inertia and technological misunderstanding severely limit progress. Immediate reforms in leadership, regulatory practices, talent management, resource allocation, and technology strategy are essential. Such changes promise enhanced efficiency, better service delivery, cost reductions, and strengthened federal leadership in AI innovation.